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VENTURE



Amid increased
momentum for defense,
the NATO Innovation
Fund refreshes its
investment team



Two years after securing [\\$1 billion in commitments](#) from over 20 countries, the NATO Innovation Fund (NIF) is entering a new chapter, marked by the arrival of two new partners and the departure of a founding team partner.

In a context of increased military spending across NATO members, investment in dual-use technology has skyrocketed since the initiative was first announced [in 2021](#). Once a no-go zone for institutional investors, defense and resilience tech last year reached [an all-time high of 10% of all VC funding](#) in Europe, where nearly all of NIF's backers are located.

IMAGE CREDITS: MARTIN BISSIG

This boom should have given NIF a first-mover advantage, but the fund was hampered by management challenges and a series of high-profile departures. After the 2025 NATO Summit in The Hague reaffirmed its importance last June, NIF is now emerging with an almost entirely new investment team.

While NIF originally had four partners and one managing partner, it is now composed of three partners. A person familiar with NIF said this flat, three-partner structure will remain in place for the foreseeable future.

Two of the partners are new hires: Ulrich Quay and Sander Verbrugge, who will be based in Amsterdam. Quay, a German national, was most

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recently in charge of corporate investments as a vice president at BMW, where he previously founded and led corporate venture fund [BMW i Ventures](#). Verbrugge, who is Dutch and has a PhD in molecular biophysics, was previously a partner at deep tech VC fund Innovation Industries, which he joined after working at semiconductor design and manufacturing company NXP.

The third partner is London-based VC Patrick Schneider-Sikorsky, who is the last remaining member of the original investment team.

Alongside the new hires, the fund announced the departure of founding team partner Kelly Chen, who tells TechCrunch that leaving was her decision and that she will be building a new venture. Chris O'Connor, another founding team partner, left NIF earlier this year with similar plans.

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Chen currently sits on the board of several startups backed by NIF but will transition her board responsibilities once her employment at the NIF

has wrapped up, TechCrunch learned from its chief communications and marketing officer, Amalia Kontesi.

While some observers wish the fund had deployed capital faster, Kontesi said NIF “is on track to meet [its] investing goals for the year.” Since its inception, NIF has made 19 investments: seven into funds such as [OTB Ventures](#) and 12 into startups, including [Space Forge](#) and [Tekever](#), which make dual-use drones.

Adding new partners with industrial and scientific backgrounds, no matter how impressive, may not satisfy those who wish the fund could invest in Ukraine or pure defense, as opposed to dual use, in response to Russia’s war economy. But the NIF’s broader thesis is to “empower deep tech founders to address challenges in defence, security, and resilience.”

In the meantime, NIF has also ramped up its efforts on the defense side. Its team was heavily involved in the development of [NATO’s Rapid Adoption Action Plan](#), aimed at accelerating the adoption and integration of new technological products for defense. NIF has also been building up its Mission Platform Group with strategic hires, including John Ridge, who was hired as chief adoption officer in 2024 to help portfolio startups navigate military procurement.

As for its new partners, they were once again hired through a process previously described by VC Michael Jackson as [akin to “building a boy band.”](#) They weren’t teamed up based on shared history or chemistry, in other words; they were identified by NIF’s board of directors and approved by LPs.

That process may be inevitable for an organization that now counts 24 countries as limited partners but is widely believed to be one reason the previous

team didn't gel. This time, all three partners got to meet throughout the recruitment process and spend time together to "ensure a smooth transition and to position the team for long-term success," Kontesi said.

In a statement shared exclusively with TechCrunch, NIF's vice chair, Professor Fiona Murray, compared the organization to a startup. "We are proud of what we accomplished, but like any effective team we are learning, experimenting, improving: speeding up our processes, expanding our platform support for startups, doubling down on ecosystem building and more broadly recognizing the need to build the sector and the capital stack."

Murray expressed pride in having brought together a qualified team that can collaborate effectively, creatively, and quickly. "They will enable us to move even more rapidly and decisively to drive the Alliance's technological agenda and support the best founders across European ecosystems," she previously wrote in a joint statement with NIF's chair, Klaus Hommels.

Hommels' other activities as an investor have prompted questions [about possible conflicts of interest](#), but no change appears to have been made to his role during NIF's recent LP meeting in Venice. Rather than dwelling further on its reorganization, NIF seems set on helping NATO become more resilient.

"In this next phase," NIF's vice chair said, "you'll see us refocus on DSR opportunities and emphasize building companies that can drive industrial scale and really support ecosystems across Europe."

Topics: [defense tech](#) [dual use](#) [Europe](#)

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IMAGE CREDITS: TEKEVER DRONE

VENTURE

Defense and resilience tech reached an all-time high 10% of all VC funding in Europe

Anna Heim — 10:37 AM PST · February 12, 2025

The war in Ukraine served as a wakeup call for Europe, and defense tech went from a sector that most European VCs didn't touch to one of the top investment areas within deep tech.

This shift is captured in Dealroom's latest [report on Defence, Resilience, and Security \(DSR\) in Europe](#), released together with the NATO Innovation Fund (NIF), a multi-country [€1 billion initiative](#) making direct investments and backing funds in this space.

NIF's portfolio includes startups such as Portugal-based dual-use drone company Tekever, which raised [a \\$74 million Series B](#) in November. In aggregate, DSR startups secured a record \$5.2 billion in venture capital last year, up 24% compared to 2023 and nearly 5x more than in 2019.

Despite the surge, \$5.2 billion is only twice as much capital as U.S. defense tech company Anduril is [reportedly seeking to raise](#) just for itself. However, that's also an all-time high of 10% of all VC funding in Europe — a two-and-half-fold increase over the past two years, according to Dealroom.

“Appetite for defense, security, and resilience startup investment is unrecognizable in Europe from just a few years ago,” its founder and CEO, Yoram Wijngaarde, said in a [statement](#). “It follows an ongoing trend of putting capital and innovation to work on Europe's core strategic needs, via deep technologies.”

With DSR now accounting for one-third of all deep tech venture funding in Europe, it is manifest that the two overlap. That's because DSR is broader than defense tech, with the acknowledgment that supply chain, quantum technologies, and energy can be equally critical for the region's sovereignty.

This means that a broader range of startups now fall into the DSR pipeline, especially now that rising

defense budgets make the idea of selling dual-use technology in Europe less daunting. NIF itself also hopes to help on that front; it recently appointed British Army veteran John Ridge as its chief adoption officer.



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Fragmentation and slow adoption aside, VC appetite has long been an obstacle, but this is changing. The rise of dual-use startups contributed to this evolution: It made it easier for generalist VCs to accommodate the sector within their mandate, which often prevents them from investing in pure defense tech, let alone weapons.

Pure defense tech only accounts for a smaller subset of overall funding, but that's also on the rise; a previous Dealroom report anticipated a [\\$1 billion tally](#) for 2024, a fivefold increase since 2018. Conversely, a broader range of European VCs are now making investments adjacent to defense tech, with more than 850 investors active in at least one DSR deal in Europe, according to the report.

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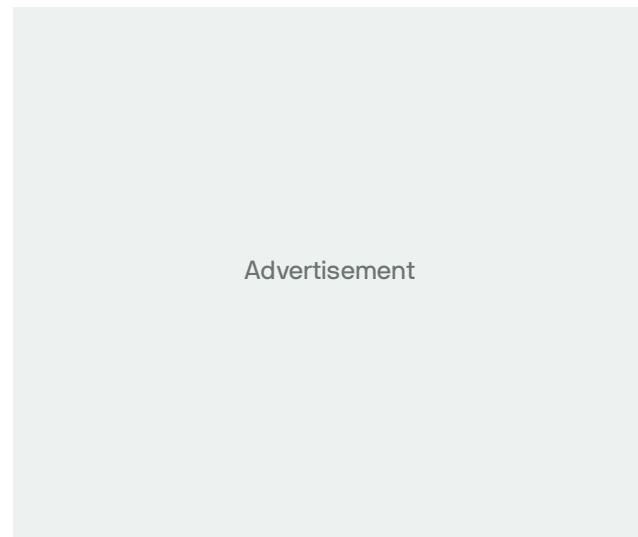
This growth is particularly striking in Germany; with Munich and Berlin as its main hubs, it claimed Europe’s top spot in DSR funding in 2024, followed by the U.K. and France. AI defense tech rising star Helsing, which is based in Germany, [raised some \\$487 million](#) in a Series C led by General Catalyst last year.

Still, these adaptations take time. The Defence Equity Facility (DEF), a €175 million fund (\$182 million) launched in January 2024 by the European Commission and the European Investment Fund (EIF), is only about to announce its first investments, as the European Investment Bank (EIF’s parent organization) had to [update its rules](#) on dual-use technology.

Of all challenges ahead, however, a lack of founders isn’t one of them, as confirmed by recent defense hackathons across Europe. “Despite recent growth, defense, security, and resilience tech remains a relatively nascent sector, but the data shows an active pipeline of early-stage companies looking to change that,” Wijngaarde said.

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ENTERPRISE



NATO announces \$1B fund to back startups supporting ‘safety, freedom and human empowerment’

Ingrid Lunden — 12:53 AM PDT · August 1, 2023

After announcing plans [nearly two years ago](#), defense alliance NATO has officially closed its first fund to back startups that are building technology

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Modeled somewhat on In-Q-Tel in the U.S., the idea will be to keep the investments strategic, with some investments leading to services that its member states, or NATO, might use. The NIF will look mainly at early-stage investments — that is from pre-seed through Series B — and it might also make follow-on investments. Initial checks will be up to €15 million. The first investments will be announced in September, the organization said; none have been made so far.

The aim is to operate NIF like a “classic VC.” That is, there will be future funds, and it’s been designed to exist in perpetuity, a spokesperson said.

Many countries have notably set up sovereign funds that back technology startups and investors, both in their own countries and in other geographies and categories viewed as strategic; NATO says that its Innovation Fund will be the “first multi-sovereign venture capital fund,” covering contributions from NATO members.

The 23 countries involved in the first NATO Innovation Fund sub-fund 1 are Belgium, Bulgaria, Czechia, Denmark, Estonia, Finland, Germany, Greece, Hungary, Iceland, Italy, Latvia, Lithuania, Luxembourg, the Netherlands, Norway, Poland, Portugal, Romania, Slovakia, Spain, Turkey, and the

- 5 hours ago

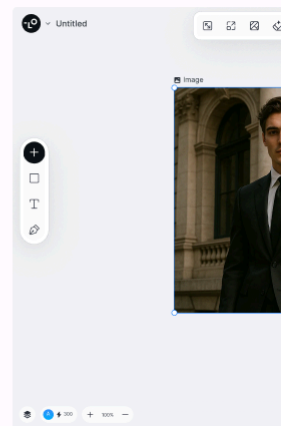
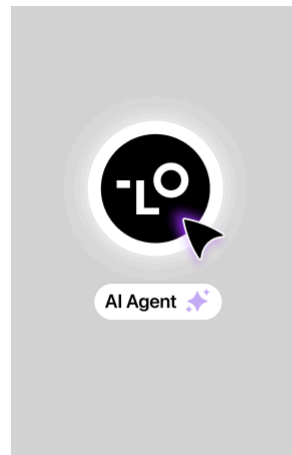
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Rebecca Bellan - 8 hours ago

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United Kingdom. Sweden will also be joining the group following its full accession to NATO, and that will add an additional €40 million into the pot, a spokesperson confirmed.

NATO has long been a player in procurement, but this shifts its focus to working with businesses that might also have an indirect impact on the security postures of its member countries.

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That could include cybersecurity, but also deep tech, as well as technologies that can help countries develop better energy or other resource independence.

Priorities like these have become especially stark in recent years. Russia's invasion and subsequent war in Ukraine has highlighted just how interconnected countries are economically in Europe, and how interrupting production and supply chains in one can have huge, detrimental impacts in others. Similarly, over-dependence on single technology companies for certain services is also

especially risky, and so spreading bets and diversifying the markets and putting money into that effort also helps build NATO's security posture.

At the same time, the adoption of newer technologies and innovations has clearly shaped up as a critical component of how nations — or a consortium of nations — defend themselves in the 21st century (and of course nations and states use innovation also for offense, not just defense). Given the role that startups and newer businesses are playing in that innovation economy, NATO taking bigger steps to capitalize on that is equally critical right now.

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The fund is being set up with a founding team that will take on an executive role, leading on sourcing and making investments. That will be complemented by a board of directors that will have more of a non-executive role, providing advice and helping to steer those decisions. The founding team will include managing partner Andrea Traversone supported by Kelly Chen, Thorsten Claus, Patrick Schneider-Sikorsky and Chris O'Connor. The board will be led by Dr. Klaus Hommels (who founded Lakestar), Dame Fiona Murray and Dr. Roberto Cingolani.

Given the layers of drawn-out bureaucracy — or, in a more charitable light, checks and balances — that NATO has had in place since its inception after World War II, it will be interesting to see how the Innovation Fund operates — and specifically, whether it figures out how to move in a more nimble way to be more responsive to the startup ecosystem.

“In venture capital, the senior management team are the brains behind investment decisions,” David van Weel, NATO Assistant Secretary General for Emerging Security Challenges, said in a statement provided over email. “I am confident that the NATO Innovation Fund’s Founding Team has the experience, drive and capability necessary to deliver the NIF’s mission.”

Other questions that have yet to be addressed publicly are whether NATO will have any red lines in terms of what kinds of companies it would not back, and whether it will have restrictions on who it would co-invest with, and if so what those might be. Nor is it clear whether NATO will be transparent on every investment that it makes, or whether there will be some that remain undisclosed.

Answers to questions we put forward on these subjects might be addressed in the update in September.

The innovation fund is one part of a one-two punch that NATO is making to broker more engagement with startups and innovation-focused businesses in its footprint. It’s also building out the [DIANA accelerator](#) to back and work more closely with startups that are building “dual-tech” solutions — those that might have a very direct and obvious application in NATO’s core activities, but also longer term applications that might not.

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With backing from NATO Innovation Fund, OTB Ventures will invest \$185M into European deep tech

Anna Heim — 4:01 PM PDT · March 20, 2024

Not a day goes by without some confirmation that deep tech is on the rise in Europe — and public and private capital investors are here for it.

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Latest case in point, [OTB Ventures](#), which closed a \$185 million fund to invest in deep tech in Europe that it will mostly deploy at the Series A stage. However, up to 10% could be allocated to seed funding, and more than 50% to follow-on investments.

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OTB's early-growth fund — its second and largest to date — is once again backed by the European Investment Fund (EIF), with support from the European Union under the InvestEU Fund. The venture firm welcomes this support, as well as EIF's evolving investment thesis, OTB co-founder and managing partner Adam Niewiński told TechCrunch.

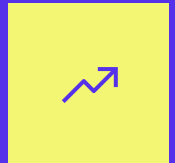
“We see EIF focusing more and more on real innovative technologies — we can call it deep tech, we can call it real tech, but we are basically talking about real disruptive technologies coming out of Europe, and being able to compete globally, or not only compete globally but lead global tech innovation.”

Another deep tech supporter made its entry on OTB's cap table: NATO Innovation Fund (NIF), which is starting to deploy the €1 billion it will invest in funds and in startups from its backing members.

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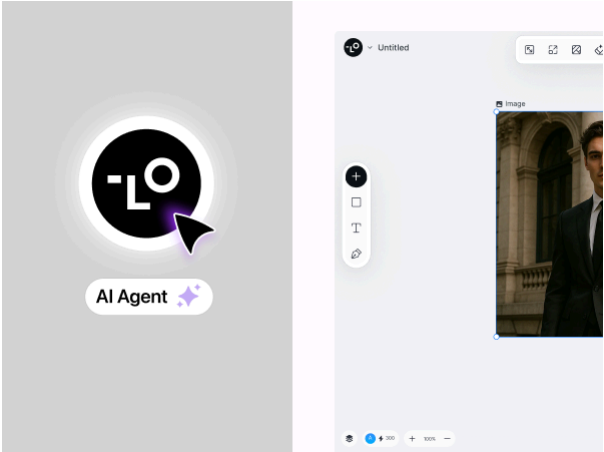


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NATO announces \$1B fund to back startups supporting ‘safety, freedom and human empowerment’

After announcing plans nearly two years ago, defense alliance NATO has officially closed its first fund to back startups that are building technology strategic to NATO’s own goals in defense and security. Member nations are collectively committing capital totaling €1 billion (around \$1 billion at current rates) to the NATO Innovation Fund (NIF), which plans to ... Continue reading

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“Our first 1 billion flagship fund invests at the intersection of deep tech, defense, security and resilience, with themes including energy, quantum computing, autonomy, climate, industrials, space and biotechnology. OTB fully aligns with our mission,” NIF managing partner Andrea Traversone said in a statement.

OTB’s take on deep tech focuses on four verticals that do sound fairly NATO-compatible: space tech,

enterprise automation and AI, cybersecurity and fintech infrastructure. That would be where fintech goes a bit more technically innovative; this could be AI-enabled anti-money laundering like Fund 1's portfolio company [Silent Eight](#), for instance.

Since OTB already started making investments out of this fund following its [first close](#) in November 2022, we already have a sense of where it will go. For instance, its nine investments so far include German startups [KYPai](#), a productivity platform, and [Semron](#), which is developing innovative chips.

Semron wants to replace chip transistors with 'memcapacitors'



A new Germany-based startup, Semron, is developing what it describes as “3D-scaled” chips to run AI models locally on smartphones, earbuds, VR headsets and other mobile devices.

Co-created by Kai-Uwe Demasius and Aron Kirschen, engineering graduates from the Dresden University of Technology, Semron's chips use electrical fields to perform calculations instead of electrical currents — ... [Continue reading](#)

On the charged question of dual-use technology, fellow OTB co-founder and managing partner Marcin Hejka was keen to dispel misconceptions. From space and IoT AI to 3D printing, “it’s absolutely natural that the defense sector is applying more and more technologies with civilian roots. It shouldn’t be confused with investing in weapons, it’s completely not that.”

We wished we had asked that same question to NIF, but this will have to wait, as it declined to be interviewed for this article.

This means we can’t confirm either whether the funding that went to OTB could also have gone to, say, a French or Austrian deep tech fund. Like NIF,

OTB is headquartered in Amsterdam, and its other office is in Warsaw, where NIF recently opened its CEE office. Perhaps more importantly, both the Netherlands and Poland are contributors to NIF.

Per NIF's rules, it will only "make direct investments into start-ups located in any of the 23 participating Allied nations" — a list of backers that doesn't fully overlap with NATO or EU members, and notably [doesn't include France](#). However, NIF's geographic scope is less clear when it comes to the indirect investments, since it only refers to "deep tech funds with a trans-Atlantic impact."

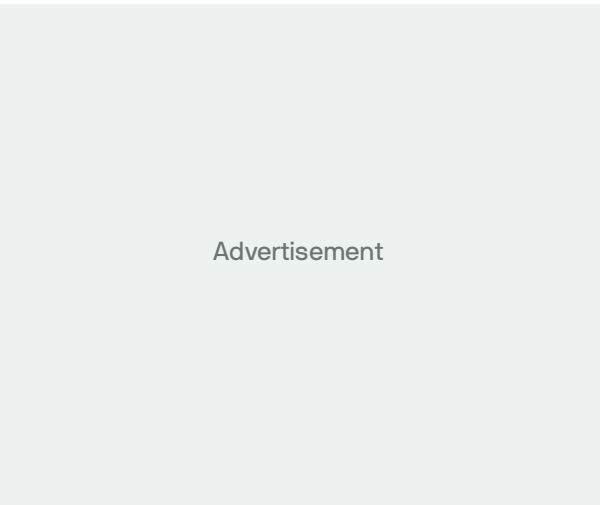
Either way, OTB's roots have benefits. The firm boasts "an unfair advantage in accessing Central and Eastern European dealflow," and this is also playing off on its cap table. Its new fund is backed by CEE entrepreneurs, and not only ones it previously backed: Its LPs include [Snowflake](#) co-founder Marcin Zukowski, who was already far along in its journey when OTB was founded in 2017.

OTB may have missed out on backing Snowflake, but it has other success stories under its belt with Fund 1, including [BabbleLabs' acquisition](#) by Cisco in 2020 and [Minit's sale to Microsoft](#) in March 2022.

It will likely take a few more years for Fund II to lead to M&As, but Niewiński has broader hopes. "Our new fund empowers us to further our mission of supporting disruptive deep tech startups that are leveraging Europe's outstanding tech talent pool — the biggest natural resource that our continent can offer."

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